

25STCV28383 25STCV28383

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Case Number: 25STCV28383 Hearing Date: August 7, 2026 Dept: 507

Tentative Ruling

Judge Rolf M. Treu,

Department 507

HEARING DATE: August 7, 2026 TRIAL DATE: August 24, 2027

CASE: David Schwarzman v. Blue Shield of
California

CASE NO.: 25STCV28383

DEMURRER

TO FIRST AMENDED COMPLAINT

MOVING PARTY: Defendant California Physicians' Service dba Blue
Shield of California

RESPONDING PARTY: Plaintiff David Schwarzman

CASE HISTORY:

09/29/25: Complaint filed.

02/27/26: First Amended Complaint filed.

TENTATIVE RULING:

Defendant's

Demurrer to the FAC is SUSTAINED in part and OVERRULED in part.

It is overruled as to the first and sixth causes of action for breach of the implied covenant of good faith and fair dealing, and breach of contract.

It is sustained with 20 days leave to amend as to the second, third, fourth, and fifth causes of action for intentional interference with prospective economic relationship, negligent interference with prospective economic relationship, negligence and conversion.

Moving Party to give notice.

BACKGROUND

Plaintiff alleges that his wife Lori Harmon was a licensed broker and founder of Harmon Insurance Services. When she passed away, he succeeded to Harmon Insurance Services and supported documents were provided to Defendant.

Plaintiff submitted Defendant's Book of Business Transfer Request, requesting that Harmon's client accounts and records be transferred to him. Defendant approved Plaintiff as a licensed broker and agent on behalf of Harmon, and thereby accepted his Form Request. Plaintiff alleges that from the moment Plaintiff's Form Request was approved, he was properly inducted into the Blue Shield network as an agent broker for it, and with the same contractual obligations as those of his late spouse's. Despite this approval, Defendant refused and failed to provide Plaintiff with access to the broker portal, and Harmon's book of business, effectively preventing Plaintiff from servicing

Harmon's clients.

Plaintiff alleges that as a result, Harmon's client relationships deteriorated, commissions were lost, and Plaintiff suffered substantial financial harm.

DISCUSSION:

Demurrer to FAC

Legal Standard

A demurrer tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "The ultimate facts alleged in the complaint must be deemed true, as well as all facts that may be implied or inferred from those expressly alleged. (Marshall v. Gibson, Dunn & Crutcher (1995) 37 Cal.App.4th 1397, 1403; see also Shields v. County of San Diego (1984) 155 Cal.App.3d 103, 133 [stating, "[o]n demurrer, pleadings are read liberally and allegations contained therein are assumed to be true"].)

First and Sixth Causes of Action: Breach of the Covenant of Good Faith and Fair Dealing and Breach of Contract

Defendant demurs

to the sixth cause of action for breach of contract, and first cause of action for breach of the implied covenant of good faith and fair dealing, arguing that Plaintiff does not allege a valid agreement between Plaintiff and Defendant, as there was no consideration, and the attached documents do not set forth the duties and obligations owed by the parties under the alleged contract.

To state a cause of action for breach of contract, a plaintiff must allege: "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

The essential elements of a contract are: "(1) Parties capable of contracting; (2) Their consent; (3) A lawful object; and (4) A sufficient cause or consideration." (Civil Code, § 1550.)

Here,

as to the first element of the existence of a contract, Plaintiff has pled that Defendant approved Plaintiff as a licensed broker and agent on behalf of Harmon, and thus he was inducted into the Blue Shield network as an agent

broker for it, with the same contractual obligations as those of his late spouse's.

Defendant

argues that a request to transfer of book of business does not create a contract between Plaintiff and Defendant because there was no additional consideration, as doing or promising to do what one is already legally bound to do cannot be consideration for a promise. However, Plaintiff's FAC alleges that Plaintiff filled out a form for the approval. A contract is supported by sufficient consideration if there is some benefit to the promisor or detriment to the promisee regardless of the amount of the benefit or detriment. (*Harris v. Time, Inc.* (1987) 191 Cal. App. 3d 449, 456.) For example, it may be said that all the law requires for sufficient consideration for a contract is the proverbial peppercorn or that a consideration of \$1 is ordinarily sufficient to support a contract at law. (*San Diego City Firefighters, Local 145, AFL-CIO v. Board of Admin. of San Diego City Employees' Retirement System*, (2012) 206 Cal.App.4th 594, 619; *Abers v. Rounsavell* (2010) 189 Cal.App.4th 348, 362.) Thus, there is consideration as Plaintiff filled out the Form Request.

Defendant

also contends that Plaintiff fails to allege the contractual terms that were allegedly breached. "A written contract may be pleaded by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect." (*McKell v. Washington Mutual, Inc.* (2006) 142 Cal.App.4th 1457, 1489.) "In order to plead a contract by its legal effect, plaintiff must allege the substance of its relevant terms." (*Id.*) Plaintiff has pled that Defendant breached the contract by refusing and failing to provide Plaintiff with access to the broker portal and Harmon's book of business. These are the substance of the relevant terms; thus, Plaintiff has pled a contract by its legal effect.

Next, Defendant argues because the breach of contract claim fails, so does the bad faith claim. (*Austero v. Nat'l Cas. Co.* (1976) 62 Cal.App.3d 511, 517 ["Where no [contractual] relationship exists, no recovery for "bad faith" may be had."].)

As noted above, Plaintiff has pled consideration and the essential terms of the contract; thus, the complaint sufficiently alleges the existence of a contract between Defendant and Plaintiff. As such, the claim for

breach of implied covenant of bad faith and fair dealing also survives.

The demurrer is OVERRULED as to
the first and sixth causes of action.

Second Cause of

Action: Intentional Interference with Prospective Economic Advantage

Defendant also demurs to the second
cause of action for intentional interference with prospective economic
relationship, arguing that Plaintiff does not allege independent wrongful
conduct aside from the interference itself.

The elements of the tort of intentional interference with
prospective economic relationship include the following:

(a) An
economic relationship between the plaintiff and some third party, with the
probability of future economic benefit to the plaintiff.

(b) The
defendant's knowledge of the relationship.

(c)
Intentional acts by the defendant designed to disrupt the relationship.

(d) Actual
disruption of the relationship.

(e)
Economic harm to the plaintiff proximately caused by the acts of the defendant.

(f) Conduct
that was wrongful by some legal measure other than the fact of interference
itself.

(Youst v. Longo (1987) 43 Cal.3d 64, 71.)

"[W]hile intentionally interfering with an existing
contract is a wrong in and of itself, intentionally interfering with a

plaintiff's prospective economic advantage is not. To establish a claim for interference with prospective economic advantage, therefore, a plaintiff must plead that the defendant engaged in an independently wrongful act. An act is not independently wrongful merely because defendant acted with an improper motive...We conclude, therefore, that an act is independently wrongful if it is unlawful, that is, if it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1158–59, internal citations omitted.)

The FAC alleges that Plaintiff had valid economic relationships with Harmon's clients that Defendant knew of, but intentionally denied access to disrupt them. Plaintiff argues in opposition that in *Stevenson Real Estate Services, Inc., v. CB Richard Ellis Real Estate Services, Inc.*, (2006) 138 Cal.App.4th 1215, 1221, the court held that violations of well-defined, established rules or standards of a trade, association or profession can constitute wrongful conduct supporting an interference claim. However, Plaintiff has not alleged any well-defined, established rules or standards of a trade in the FAC. As such, the demurrer is sustained with leave to amend on this ground.

In the opposition, Plaintiff argues that Defendant's denial of portal access after formal approval constitutes independently wrongful conduct in violation of determinable industry standards governing insurance broker relationships. However, the Court in *Stevenson* held that independently actionable conduct means "the rules or standards provide for, or give rise to, a sanction or means of enforcement for a violation of the particular rule or standard that allegedly makes the defendant's conduct wrongful. Seldom are the rules or standards of associations, trades and professions likely to give rise to legal causes of action." (Id., at 1223.) Thus, Plaintiff must keep this in mind in amending the pleading.

Defendant also argues that Plaintiff's alleged economic relationship with Harmon's clients is speculative.

A plaintiff must establish an existing relationship to establish a claim for intentional interference with prospective economic advantage." (*Salma v. Capon* (2008) 161 Cal.App.4th

1275, 1291.)

Allegations regarding interference

with potential customers are insufficient to state a cause of action for intentional interference with prospective economic advantage. (See *Korea Supply Co.*, supra, 29 Cal.4th at 1164 (stating that the tort of intentional interference with prospective economic advantage “protects the expectation that the relationship eventually will yield the desired benefit, not necessarily the more speculative expectation that a potentially beneficial relationship will arise” (quoting *Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 524); *Roth v. Rhodes* (1994) 25 Cal.App.4th 530, 546 (finding that an allegation that the defendant interfered with relations with future customers is insufficient to show an existing relationship).)

However, as

Plaintiff points out, he was the surviving spouse and sole heir to Harmon Insurance Services. Thus, Plaintiff inherited all existing client relationships maintained by his late wife's brokerage. (FAC ¶¶ 7-9, Exs. A and B.)

Defendant

argues in Reply that whether those clients still exist or Harmon continued to service any remaining clients following the passing of Plaintiff's wife remains unknown from the allegations in the FAC. But this argument is speculative. As Plaintiff inherited the business, the clients currently exist. To argue that they will leave in the future is speculative. The demurrer is overruled on this ground.

However, as

noted above, based on the failure to plead an independently wrongful act, the demurrer to this cause of action is SUSTAINED with leave to amend.

Third Cause of

Action: Negligent Interference with Prospective Economic Advantage

Negligent interference shares the

elements of intentional interference, except that “the acts

are deemed tortious only where there was an existing duty of care

owed by the defendant to the plaintiff. [Citation.] (*Golden Eagle Land Investment, L.P. v. Rancho Santa Fe Association* (2018) 19 Cal.App.5th 399, 430.)

As Plaintiff fails to plead an independently wrongful act, the third cause of action is also SUSTAINED on this ground with leave to amend.

Fourth Cause of
Action: Negligence

Defendant argues that Plaintiff's cause of action for negligence fails because Blue Shield does not owe Plaintiff any legal duty in tort.

The elements for negligence are: (1) a legal duty owed to the plaintiff to use due care; (2) breach of duty; (3) causation; and (4) damage to the plaintiff. (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 318.) In California, negligence may be pleaded in general terms. (Landeros v. Flood (1976) 17 Cal.3d 399, 407-408.)

"[W]hile negligence is ordinarily a question of fact, the existence of a duty is generally a question of law that may be addressed by demurrer. (Paul v. Patton (2015) 235 Cal.App.4th 1088, 1096.)

Plaintiff has alleged in the FAC that Defendant owed him a duty to reasonably process succession and transfer requests. Defendant contends that an insurer has no duty "to process applications within a particular time period" absent special circumstances not alleged here. (Lunardi v. Great-West Life Assurance Co. (1995) 37 Cal. App. 4th 807.)

Negligence is not among the theories of recovery generally available against insurers. (Adelman v. Associated Intern. Ins. Co. (2001) 90 Cal.App.4th 352, 369-370; see also Everett Associates, Inc. v. Transcontinental Ins. Co. (N.D. Cal. 2001) 159 F.Supp.2d 1196, 1294 (applying California law).)¿

However, Plaintiff argues that a party who undertakes to render services assumes duty to do so with reasonable care. (Paz v. State of California (2000) 22 Cal.4th 550.) Plaintiff argues that by taking an affirmative step — formally

approving Plaintiff's appointment— Blue Shield assumed a duty to complete that process with reasonable care. "To establish a duty of care to a third person based on the negligent undertaking doctrine, a plaintiff must show: (1) the defendant undertook to render services to another; (2) the services were of the kind the defendant should have recognized as necessary for the protection of third persons; and (3) either (a) the defendant's failure to exercise reasonable care increased the risk of harm beyond what existed without the undertaking, (b) the undertaking was to perform a duty owed by the other to the third persons, or (c) a harm was suffered because the other or third persons relied on the undertaking." (Barenborg v. Sigma Alpha Epsilon Fraternity (2019) 33 Cal.App.5th 70, 83-84.) Defendant argues that Paz involved whether the defendant's alleged failure to exercise reasonable care increased the risk of physical harm. (Element 3(a).) But Defendant has not shown that the theory of negligent undertaking cannot also be applied in a professional or commercial setting such as this one.

However,
because Plaintiff's FAC does not plead the undertaking theory, the demurrer to the cause of action for negligence is SUSTAINED with leave to amend.

Fifth Cause of
Action: Conversion

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion are: (1) the plaintiff's ownership or right to possession of the property at the time of the conversion; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. It is not necessary that there be a manual taking of the property; it is only necessary to show an assumption of control or ownership over the property, or that the alleged converter has applied the property to his own use." (Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 451-452.) "To prove a cause of action for conversion, the plaintiff must show the defendant acted intentionally to wrongfully dispose of the property of another." (Duke v. Sup. Ct. (2017) 18 Cal.App.5th 490, 508.)

The FAC
alleges that Defendant wrongfully withheld possession and control of Plaintiff's book of business and client records. Defendant contends there are

no allegations showing Defendant acted intentionally to wrongfully dispose of the property as required in Duke.

Plaintiff

argues in opposition that in *Sanowicz v. Bacal* (2015) 234 Cal.App.4th 1027, the court held that allegations that a real estate agent's conversion of commissions due under an agreement by receiving funds, but refusing to pay the plaintiff's share, were sufficient to establish conversion. (Id., at 1042.) However, the court in *Sanowicz* was considering the first element, whether *Sanowicz* established an actual interference with his ownership or right of possession of property. Here, the question is whether Defendant acted intentionally to wrongfully dispose of the property, the second element. Thus, *Sanowicz* does not help Plaintiff.

Because

Plaintiff has not alleged how Defendant acted intentionally to wrongfully dispose of the property, the demurrer is SUSTAINED with leave to amend as to the fifth cause of action for conversion.

CONCLUSION:

Accordingly,

Defendant's Demurrer to the FAC is SUSTAINED in part and OVERRULED in part.

It is overruled as to the first and sixth causes of action.

It is sustained with 20 days leave to amend as to the second, third, fourth, and fifth causes of action.

Moving Party to
give notice.

IT IS SO ORDERED.

Dated: August 7, 2026 _____

Rolf

M. Treu

Judge
of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.